

INTERNAL AUDIT REPORT

Financial Transaction Audit | Report No. AR-02308

Report ID:	AR-02308
Audit Type:	Financial Transaction Audit
Report Date:	April 26, 2023
Audit Period:	2022-12-25 to 2023-04-17
Lead Auditor:	Donna Jackson (EMP-33691)
Reviewed By:	Phillip Williams (EMP-16737)
Primary Vendor Reference:	Alpha_Inc Inc (VND-00656)
Subject Employee Reference:	Cathy Lambert (EMP-31551)
Primary Transaction Reference:	TXN-C1588885067
Overall Risk Rating:	LOW

1. EXECUTIVE SUMMARY

This financial transaction audit covered the period 2022-12-25 to 2023-04-17 and examined transactions, approvals, and compliance records associated with vendor Alpha_Inc Inc (VND-00656) and employee Cathy Lambert (EMP-31551). The audit identified 4 finding(s) requiring management attention, summarised in Section 3. The overall risk rating for this audit is assessed as **LOW**.

2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-C1588885067 (amount 39,298.80 USD) was selected as a key test item.

3. FINDINGS

Finding ID	Severity	Category	Description
FND-00263 2	LOW	APPROVAL LIMIT	Payment of \$490,643 approved at Level 1, which has a limit of \$5,000. Transaction exceeded limit by \$6,251.
FND-00178 7	CRITICAL	POLICY BREACH	Entertainment expense of \$283,102 submitted by EMP-30811 exceeds monthly policy allowance of \$5,000.

Finding ID	Severity	Category	Description
FND-002577	HIGH	VENDOR RISK	Vendor XcelPath Networks Ltd holds CRITICAL risk rating. 8 payments totalling \$18,602 processed in the audit period.
FND-001297	MEDIUM	VENDOR RISK	Vendor Apex Solutions Ltd holds CRITICAL risk rating. 6 payments totalling \$996 processed in the audit period.

4. EVIDENCE REFERENCES

Evidence ID	Source Type	Citation Reference	Alignment Score
EVI-000357	AUDIT REPORT	EVD-HKC-6561	0.73
EVI-002825	VENDOR RECORD	EVD-YFO-4470	0.86
EVI-007744	TRANSACTION RECORD	EVD-TXI-9593	0.88
EVI-007995	VENDOR RECORD	EVD-WCF-0689	0.56
EVI-010121	EXPENSE CLAIM	EVD-TDN-1137	0.95
EVI-010290	AUDIT REPORT	EVD-LPJ-3569	0.68

5. RECOMMENDATIONS

- Escalate repeat policy violations to the Risk Committee for disciplinary review.
- Implement enhanced due diligence procedures for vendors rated HIGH or CRITICAL risk prior to contract renewal.
- Implement receipt-matching automation for expense claims above the policy threshold.

6. MANAGEMENT RESPONSE

Management partially agrees with the findings; a remediation plan has been submitted for review by the Audit Committee.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Auditor	Donna Jackson	EMP-33691	2023-04-26
Reviewing Officer	Phillip Williams	EMP-16737	2023-04-28